

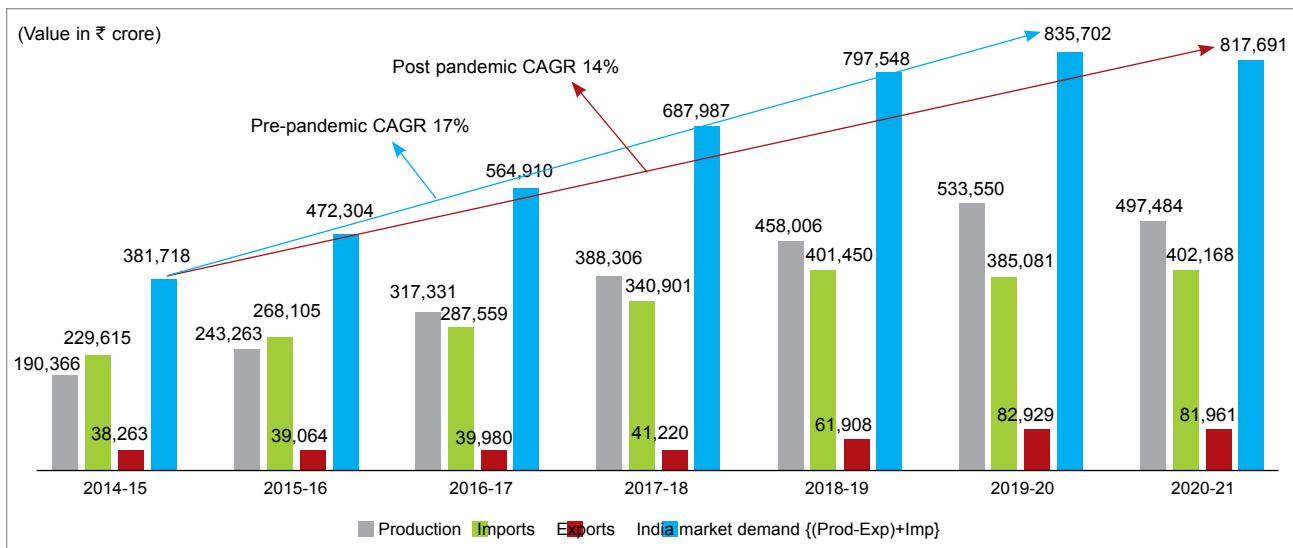


Fig. 1: India electronics market trend (Source: MeitY annual report 2020-21, DGCIS data)

to renowned energy meters and utility companies and automakers such as Bajaj, TVS, Hero, etc, enabling them to maintain their foothold in the Indian market.

Fast forward to today, India's electronics manufacturing industry is ambitiously aiming for a \$300 billion target output, with a hopeful projection of \$120 billion in exports by the financial year 2026-27. This growth trajectory aligns with the country's broader vision of achieving a \$1 trillion digital economy by 2025. While these goals are inspiring, it is important to acknowledge a crucial aspect: India continues to heavily rely on electronics imports to meet its domestic demand.

Rising input costs due to high imports, coupled with surging domestic demand for consumer electronics, have now, more than ever, created a pertinent need for an electronics manufacturing ecosystem that adds high value to India's local component manufacturing capability.

Copying cues from the neighbours

As India scales up resources to encourage consumer electronics companies to 'Make in India', its neigh-

bours have become the front-runners in electronics manufacturing for more than four decades. The Indian Council for Research on International Economic Relations (ICRIER) released a report that underlines the potential for India to learn from the success stories of China and Vietnam in the electronics sector.

During the early ecosystem-establishing days, the two countries prioritised exporting at scale to the global market, over achieving high levels of domestic value addition. Both countries focused on attracting foreign investments by offering a large and relatively low-cost labour force.

China went the extra mile to increase domestic value addition by investing in research and developing technical capabilities to become a key player in manufacturing high-tech components, from primarily being an assembler. With this

approach, it took China 40 years to achieve exports worth \$900 billion!

If we compare the starting points of India, China, and Vietnam in the electronics sector, the East-Asian countries possessed a more robust manufacturing base and export-oriented industries from the outset, only after which they built a competitive domestic ecosystem and technical capabilities. This ultimately resulted in higher participation in global value chains, increasing their share of domestic value addition in exports. On the other hand, India had to focus on skill development and workforce training to meet the demands of the electronics industry.

Competing with Chinese global value chains worth \$900 billion seems like a fool's errand, but India has been taking significant steps to establish a competent domestic manufacturing ecosystem, in the

DVA = Total Exports × DVARatio where,

DVA refers to the total value of domestic inputs used in exports;

DVARatio refers to the domestic value addition per unit of output (or total demand).

To increase DVA of smartphones, one could increase the number of smartphones exported or the DVARatio in each smartphone, say from 25% to 75%. By this logic, if both SCALE and RATIO can be increased simultaneously, it would lead to an even higher DVA and hence, faster job creation.

(Source: ICRIER Report, Globalise to Localise)